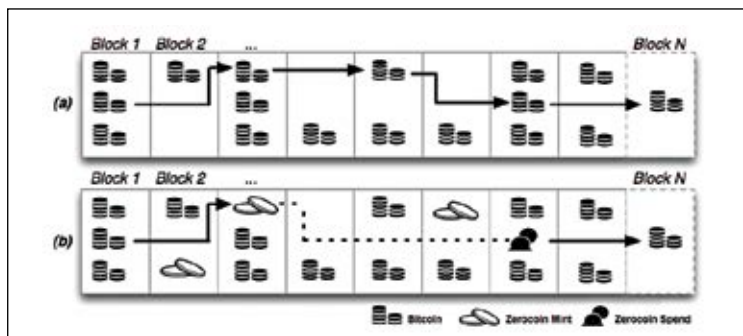


transaction ever performed since the generation of a coin can be traced back. So as long as you have an address, you can see every single transaction that was directed to or originated from that address. Which is why we mentioned that each address should only be used for one transaction to ensure security. The identity of the owner to whom the address belongs to is kept a secret unless you've made transactions that reveal your identity. In that case all transaction you will ever perform can be tracked. Certain clients like Bitcoin-Qt gives you the ability to create two return addresses so that does help a bit, but it can still be traced back if necessary.

Still need anonymity?

Enter Zerocoin, it is a proposed extension to the Bitcoin protocol which means implementation of the Zerocoin system shouldn't be difficult at all. Zerocoin includes a system to launder Bitcoins in the blockchain itself so that tracing a transaction becomes next to impossible giving you true privacy. The concept is just a research paper at the moment and is being worked on, hopefully we should see demonstrations happening in late 2014. Essentially, when your Bitcoins enter the system there are a few Zerocoins which are generated and your Bitcoins are converted into Zerocoins which then get transacted here and there before finally being spent. At the end of the blockchain you get your coins back but the entire process that happened in the middle makes the transaction anonymous.

However, if you are still worried about getting a bit of privacy then you can opt for a laundry service which takes transactions from many users, breaks it down to a lot more micro-transactions and then shuffles them between the users before finally bringing it together and returning it to the user. The catch



Zerocoin concept in the works